Class 10 SST - Chapter 21: Globalisation and the Indian Economy

🌟 Introduction to the Chapter

As consumers in today's world, some of us have a wide choice of goods and services before us. The latest models of digital cameras, mobile phones, and televisions made by the leading manufacturers of the world are within our reach.

📌 Production Across Countries

Until the middle of the twentieth century, production was largely organized within countries. What crossed the boundaries of these countries were raw materials, food stuff, and finished products.

- **Multinational Corporations (MNCs):** An MNC is a company that owns or controls production in more than one nation. They set up offices and factories for production in regions where they can get cheap labor and other resources to maximize profit.
- **Foreign Investment:** Investment made by MNCs is called foreign investment.

Interlinking Production Across Countries

MNCs interact with local producers in various countries:

1. By setting up partnerships with local companies.
2. By using the local companies for supplies.
3. By closely competing with the local companies or buying them up.

⚡ What is Globalisation?

Globalisation is the process of rapid integration or interconnection between countries.

- More and more goods and services, investments, and technology are moving between countries.
- **Factors driving Globalisation:**
  - Rapid improvement in technology (especially transportation and IT).
  - Liberalisation of foreign trade and foreign investment policy (removing barriers or restrictions set by the government).

World Trade Organisation (WTO)

An international organization whose aim is to liberalize international trade. Started at the initiative of the developed countries, WTO establishes rules regarding international trade.

❌ Common Mistakes to Avoid

> [!WARNING]
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> 1. **Trade Barriers:** Do not assume all trade barriers are bad. Governments use trade barriers to increase or decrease (regulate) foreign trade and to protect domestic producers from unfair foreign competition.
> 2. **Globalisation Impact:** It has not been uniform. While well-off consumers and skilled workers have benefited, small producers and unskilled workers have suffered.

📝 Quick Revision

The Struggle for a Fair Globalisation

Fair globalisation would create opportunities for all, and also ensure that the benefits of globalisation are shared better. The government can play a major role here by ensuring that labor laws are properly implemented and supporting small producers to improve their performance.